- Banks must validate their EPE models and all relevant risk measures out to time horizons commensurate with the maturity of trades for which exposure is calculated using an internal modelling method.
- The pricing models used to calculate counterparty exposure must be regularly tested against appropriate independent benchmarks as part of the on-going model validation process.
- The on-going validation of a bank's EPE model and the relevant risk measures include an assessment of recent performance.
- The frequency with which the parameters of an EPE model are updated needs to be assessed as part of the validation process.
- Under the IMM, a measure that is more conservative than the metric used to calculate regulatory EAD for every counterparty, may be used in place of alpha times Effective EPE with the prior approval of the supervisor. The degree of relative conservatism will be assessed upon initial supervisory approval and at the regular supervisory reviews of the EPE models. The bank must validate the conservatism regularly.
- The on-going assessment of model performance needs to cover all counterparties for which the models are used.
- The validation of IMM models must assess whether or not the bank level and netting set exposure calculations of EPE are appropriate.

49(i). The bank must have an independent risk control unit that is responsible for the design and implementation of the bank's counterparty credit risk management system. The unit should produce and analyse daily reports on the output of the bank's risk measurement model, including an evaluation of the relationship between measures of counterparty credit exposure and trading limits. The unit must be independent from the business trading units and should report directly to senior management of the bank.

B. Addressing reliance on external credit ratings and minimising cliff effects

1. Standardised inferred rating treatment for long-term exposures

118. Para. 99 of the Basel II text would be modified as follows:

99. Where a bank invests in a particular issue that has an issue-specific assessment, the risk weight of the claim will be based on this assessment. Where the bank's claim is not an investment in a specific assessed issue, the following general principles apply.

- In circumstances where the borrower has a specific assessment for an issued debt – but the bank's claim is not an investment in this particular debt – a high quality credit assessment (one which maps into a risk weight lower than that which applies to an unrated claim) on that specific debt may only be applied to the bank's unassessed claim if this claim ranks *pari passu* or senior to the claim with an assessment in all respects. If not, the credit assessment cannot be used and the unassessed claim will receive the risk weight for unrated claims.